
BUSINESS GAME

Final Report

Team ID: 25

Team Color: Yellow

Universe: 5

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INTRODUCTION

At the beginning of the simulation, our team adopted a strategy based on segment-specific positioning rather than a single uniform approach across the whole market. In the Low-Cost segment, we focused on cost leadership, standardization, low complexity, reliability, and the ability to deliver at competitive prices. In the Family segment, we aimed to preserve and gradually expand market share by improving product fit, especially through comfort, robustness, size, and fuel efficiency. Eco-Friendly and Image were treated more selectively: Eco-Friendly was seen as a growing segment where investments in engineering, scale, and learning could generate long-term advantages, while Image required continuous differentiation through product appeal and marketing. Overall, our performance trajectory was positive but increasingly complex. In the early phases, we achieved strong results by combining competitive prices, capacity expansion, and attention to customer preferences. This allowed us to strengthen our position in key segments. The main managerial challenge shifted from simply increasing sales to balancing growth, profitability and liquidity. Several decisions required trade-offs between defending market share through lower prices and preserving margins, or between expanding capacity and avoiding excess inventory. A major turning point was the expansion into Region 2. We were attracted by its stronger growth rates, but we decided not to enter the new region in a comprehensive way. Instead, we followed a selective entry strategy, concentrating our resources on the segments where we believed we had a realistic chance to compete profitably. We entered Region 2 mainly through Low Cost and Family, while managing Eco-Friendly more cautiously through exports rather than dedicated facilities. The reason was that, entering late, we had too little time to climb the learning curve and reach the economies of scale that had made Eco-Friendly attractive in Region 1. Opening dedicated capacity that we could not fully exploit would have increased fixed costs without guaranteeing an adequate return. Similarly, we decided not to enter the Image segment in Region 2, because we expected it to become a highly competitive “red ocean” where late entry would require large investments in marketing and engineering with uncertain results. Another important turning point occurred in Region 1, where two competitors exited the Eco-Friendly segment. This significantly changed the competitive dynamics, allowing us to strengthen our position precisely in a segment where we had already invested in engineering and capacity. As a result, Eco-Friendly became not only more stable but also increasingly central to our profitability. This effect was particularly relevant in a period characterized by recessionary pressure, where maintaining margins in other segments became more difficult. The improved conditions in Eco-Friendly therefore played a key role in supporting overall profitability and cash flow stability, partially offsetting weaker performance in more competitive segments. Our main challenges were not only market-related, but also internal coordination. We had to align decisions across products, regions, pricing, engineering, marketing, production capacity, exports, inventory, and cash availability.

Lesson #1 Being competitive in every segment is not the solution: knowing which battles to fight

1. Initial Assumption or Strategic Belief

At the beginning of the simulation, our team believed that maintaining a presence across all segments could reduce risk and allow us to capture different sources of demand. Each segment seemed to offer a different opportunity: Low Cost could generate volume through efficiency and competitive pricing; Family could provide stable demand and cash flow; Eco-Friendly offered growth potential; and Image appeared attractive because of its premium positioning and high margins. Our initial logic was therefore relatively broad: we tried to remain competitive in multiple markets at the same time, adapting price, engineering, marketing, and capacity decisions according to each segment's customer preferences. However, as the simulation progressed, we realized that being present in many markets was not the same as having a defensible advantage in each of them.

2. Actions and Organizational Choices

To manage the different segments, we divided responsibilities within the team. Some members focused on customer needs using personas and preference analysis, while others studied competitors to support strategic decisions such as pricing and market positioning. Internal constraints like capacity and inventory were handled through collective decision-making. Our process followed a clear sequence: we first reviewed past results, then proposed actions for each segment, and finally discussed them collectively to ensure alignment with the company's overall strategy. Initially, we allocated resources across the four segments with different logics. Low Cost was driven by cost leadership and standardization, targeting price-sensitive customers. Family was treated as a core segment, with balanced investments in comfort, robustness, and price competitiveness. Eco-Friendly was considered a long-term opportunity, requiring early investments in engineering and capacity due to expected market growth. Image required continuous investment in appeal, engineering, and marketing, but became increasingly difficult to sustain due to high costs and competition. Over time, we shifted toward a more selective focus on stronger or more favorable segments. This was especially evident in Eco-Friendly, where early investments and competitors exit in Region 1 allowed us to consolidate a strong and profitable position.

3. Evidence Observed During the Simulation

The evidence showed that not all segments contributed equally over time, confirming that trying to compete everywhere was not the most effective strategy. In Region 1, Family was initially one of our strongest segments, growing from around 99 units in P4 to 123 in P6, but later became more unstable, falling to 70 units in P10 before partially recovering in P11. This showed that Family could not remain our main strength throughout the simulation. In contrast, Eco-Friendly followed a more positive trajectory. In Region 1, sales increased from around 40 units in P4 to about 123 units in P11, especially after two competitors exited the segment. Region 2 also confirmed its potential, with Eco-Friendly sales rising from 11 units in P8 to 97 in P11 through exports, despite the absence of dedicated facilities. Low Cost also became a strong segment in terms of volume, reaching 181 units in Region 1 and

around 410 units in Region 2 by P11, although it required significant capacity and strong coordination between price and marketing. Image, instead, remained limited in scale, with sales generally between 50 and 66 units in Region 1. Overall, the results showed that our performance improved when we focused on the segments where our resources and market conditions created a better fit, especially Eco-Friendly and Low Cost, rather than trying to defend all segments equally.

4. Interpretation and Root Cause Analysis

While each segment required different investments in price, marketing, engineering, and capacity, the main problem was resource allocation, where to invest managerial time and money for the maximum ROI. Trying to remain competitive in all segments reduced our ability to build a strong advantage. The big trade-off was between diversification and specialization. Diversification helped in reducing risk, but it also made managing more complex and absorbed cash. One big organizational risk was evaluating segments too independently, without always considering their combined impact on capacity and cash. A cognitive bias was assuming that every segment deserved continued investment. The lesson was that some segments had to be prioritized, while others had to receive less attention, very much in line with the BCG growth matrix framework.

5. Generalizable Managerial Lesson

The most important managerial lesson is that being competitive in every market is not a strategy by itself. Companies do not win because they enter many arenas, but because they understand where their capabilities, resources, and market conditions create the best fit, and exploiting their core competences. Strategic focus requires knowing which battles to fight and which ones not to over-invest in, following the BCG growth matrix a company should identify its dogs and disinvest rather than invest. A segment should not be evaluated only on current revenues but also on the level of competition, the required investments, and the company's ability to build a sustainable competitive advantage. Specialization does not rule out exploring opportunities, like new market segments, it means allocating resources where they can generate a strong and sustainable return.

Lesson #2 Growth only creates value when it matches capacity

1. Initial Assumption or Strategic Belief

Our initial belief was that increasing demand and market share would naturally improve performance. In the early phases, this logic seemed reasonable: higher volumes could reduce unit costs, improve economies of scale, and strengthen our competitive position. This was especially relevant in Low Cost and Family, where we often connected price reductions, product improvements, and capacity expansion with the objective of increasing sales.

However, the simulation showed that growth is valuable only when the company has the capacity to satisfy demand and the financial resources to support expansion. Demand that exceeds capacity creates missed sales and lost

opportunities. Capacity that exceeds demand creates inventory and unnecessary costs, we have experienced this with the family segment. Therefore, the real challenge was not only to grow, but to grow at the right pace.

2. Actions and Organizational Choices

To manage the relationship between market growth and production capacity, we continuously aligned commercial, operational, and financial decisions throughout the simulation. The core strategy was to expand capacity only when expected future demand was sufficient to absorb additional output, and then adjust commercial levers to ensure full utilization of production. We adopted a collective decision-making process in which, each period, we compared forecasted demand with available capacity and inventory before setting prices, marketing expenditures, engineering investments, and facility expansions. Capacity increases were therefore conditional on demand projections, while demand-stimulation actions were implemented only when sufficient capacity was available. Evidence of this coordination appears across multiple periods, where capacity expansions were followed by pricing and marketing adjustments aimed at increasing sales volume. When capacity became constrained, we sometimes increased prices or reduced growth ambitions, particularly in the Image and Family segments, deliberately accepting lower market share to avoid excess demand. Conversely, when new capacity was added, we used pricing and marketing actions to stimulate demand and fully exploit production capabilities.

3. Evidence Observed During the Simulation

Several episodes showed that growth creates value only when it is supported by adequate capacity. In Low Cost, Region 1 capacity increased from 60 to 225 units by P10, but this required demand to catch up. To avoid unused capacity, we reduced prices from 41 to 34 in P6 and down to 26 by P9, while also increasing marketing. The results arrived later, with sales reaching 410 units and \$9,430 revenue by P11. Family showed the opposite issue. After under-investing, Region 1 capacity fell from 134 to 123 units, so we had to limit demand instead of stimulating it, keeping orders around 110 and avoiding further pressure on capacity. Image was the clearest example of demand exceeding supply. Capacity fell from 66 to 54 units, while orders reached 82 against only 56 sellable units. As a result, we increased price from 145 to 152 to reduce excess demand and realign sales with capacity. Eco-Friendly confirmed the importance of investing ahead of growth. The P8 loan supported a Region 1 capacity increase from 120 to 310 units by P10, while sales reached 123 units in P11. At the same time, we used price as a balancing tool, increasing it from 65 to 74, supported by a strong engineering edge and appeal growth from 174% to 190%. Finally, Region 2 showed the cost of not committing local capital: capacity remained at zero throughout the simulation, so sales depended only on exports from Region 1 and reached just 96 units in P11.

4. Interpretation and Root Cause Analysis

The root cause of this lesson was the mismatch that can emerge between commercial ambition and feasibility. Growth is often perceived as automatically positive, but the simulation showed that it creates value only when demand can be converted into profitable sales. Our initial belief turned out to be incomplete because we treated

growth as a goal by itself, instead of seeing it as the result of a system that is limited by capacity, cash, and timing. These three things are connected, so improving only one of them does not really create value, it just moves the bottleneck somewhere else. For example, when we expanded capacity before demand was there, the problem moved to sales, and we had to cut prices in Low Cost. When we under-invested, the problem moved back to production, and gaining extra market share became useless in Family because we couldn't deliver it.

5. Generalizable Managerial Lesson

The broader managerial lesson is that growth is not automatically value creation. Growth creates value only when it is supported by adequate capacity, liquidity, and execution. Capacity is therefore a strategic variable, an operational one. A company should not stimulate demand without checking its ability to deliver, and it should not expand capacity without a realistic plan to fill it. Sustainable growth requires alignment between commercial ambition and operational capability.

Lesson #3 Liquidity is a strategic resource, not just a safety buffer

1. Initial Assumption or Strategic Belief

Our team treated liquidity mainly as a protection mechanism. We believed that maintaining high cash reserves and avoiding debt would protect us from financial risk and preserve flexibility in case of demand uncertainty. The underlying logic was essentially defensive: debt carries interest costs and repayment obligations. Therefore, we considered loans as something to be used only when strictly necessary. In hindsight, this framing fundamentally constrained our strategic options, particularly in the segments where market share and scale economies were the primary drivers of value creation

2. Actions and Organizational Choices

Throughout the simulation, when capital allocation decisions arose, we systematically ruled out options that required drawing on available credit lines, even when their projected returns appeared attractive, in order to preserve financial stability and maintain a conservative risk profile. Organizationally, financial decisions were concentrated at the team level and reviewed collectively, which introduced a conservative bias: proposals involving loans were subject to more scrutiny and higher implicit hurdle rates than equivalent equity-funded investments. The team did not establish a formal capital allocation framework distinguishing between short-term liquidity needs and long-term investment financing, which meant that debt was evaluated through the lens of operational risk rather than strategic opportunity cost. Concretely, this translated into: slower capacity expansion in the Low Cost segment relative to demand growth signals, postponing investment in Eco-segment product development while early-mover opportunities were still available and consistently made limited use of our available credit facility, leaving the balance sheet conservative but the competitive position exposed.

3. Evidence Observed During the Simulation

The evidence suggests that our conservative financial approach produced both benefits and costs. One of the clearest example was the Low Cost segment in Region 2. While demand continued to expand and competitors significantly increased their production capacity from Period 8 onward, our financial position prevented us from matching the same pace of investment. As a result, we were unable to fully exploit a market that was rapidly scaling and increasingly driven by volume and economies of scale. Looking back, greater access to liquidity would have allowed us to expand capacity earlier and capture a larger share of the segment's growth. Unable to commit the level of capital required to compete effectively in the Low Cost segment, we decided in Period 8 to secure a \$5,000 loan in order to preserve our ability to pursue alternative growth opportunities. This additional liquidity ultimately allowed us to capitalize on the emerging Eco-Friendly market. Following the Period 8 loan, we increased facility capacity in Region 1 from around 120 units to more than 300 units by Period 10. This expansion occurred while several competitors were reducing their presence in the segment, creating a favourable competitive environment. The additional capacity allowed us to respond to rising demand and contributed to a strong increase in sales during the final periods.

4. Interpretation and Root Cause Analysis

The root cause was a trade-off between debt risk aversion and accelerated strategic growth through debt. We correctly understood that excessive debt could create risk, but we underestimated the opportunity cost of not using debt enough. In markets such as Low Cost where standardization is a key mechanism a higher D/E ratio could accelerate the effect of economies of scale. In the same way, in Eco-Friendly, where early positioning and market expansion mattered, a bigger use of loans could have supported faster entry and stronger market presence. The main cognitive bias was risk aversion but also a matter of us wanting to repay the debt before ending the game (and our term as TMT). We focused on the visible cost of debt than on the less visible cost of missed growth. This created a strategic inconsistency: we wanted to compete in scale-sensitive segments, but we did not use enough financial debt leverage to support that strategy. As a result, we sometimes had to react later with stronger price reductions, higher marketing expenses, or catch-up investments.

5. Generalizable Managerial Lesson

The main lesson learned is that liquidity is not only a safety buffer, but also a strategic resource. In growth markets where scale and timing matter, debt can support faster capacity expansion, stronger competitive positioning, and earlier demand capture. While financial conservatism reduces risk, excessive caution can limit value creation by slowing down strategic investments. A good manager should therefore evaluate loans not only as a financial risk, but also as a way to fund value-creating opportunities ahead of competitors. In our case, greater use of debt could have accelerated growth in Low Cost and Eco-Friendly, where capacity, scale, and early market presence were critical to gaining market share and building an early-mover advantage.

Final Reflection

The single most important lesson for our team was that being competitive in every segment is not a strategy in itself. Family illustrated this clearly: it was one of our strongest segments early on but lost attractiveness as competition intensified, leaving us with units we couldn't sell, so it could not be treated as a dependable cash cow. The segments that ultimately carried us were the ones where our resources and market conditions created a genuine fit: Low-cost, where we were consistently the lowest-cost producer and drove strong volume, and Eco-Friendly, where earlier investments in engineering and capacity paid off once two competitors exited the segment. Image, by contrast, stayed costly and small in scale, never the place to build real growth. Conviction in the few segments where our advantage was real, much in the spirit of the BCG matrix, beat thin participation across all of them.

The managerial capability we would most prioritize improving is the management of liquidity and financial leverage. Throughout the simulation we kept a careful eye on the future, anticipating competitors' moves and factoring in market growth, and that forward orientation served us well. Where we see room to sharpen is in how actively we put our financial position to work. In several periods we were sitting on substantial cash yet stayed conservative about taking on debt, leaving leverage underused at moments when the return on funding additional capacity or engineering was clearly there. Managing liquidity more deliberately, so borrowing when the opportunity justified it rather than defaulting to caution, would have let us press our advantages harder in the segments where we were strongest.

The hardest strategic trade-off was timing our move when the second region opened. The core uncertainty was what competitors would do: export into the new region, open local facilities, or stay out entirely. Moving first risked sinking facility investment into a market that might not develop; waiting risked ceding it to whoever committed early. We leaned toward wait-and-see, exporting cautiously and opening little in region 2, which protected us from over-investing but probably left first-mover advantage on the table. With such imperfect information about rivals' intentions, this first-mover-versus-patience question was the decision we genuinely struggled to resolve, and we are still not certain we called it correctly.

If the simulation restarted tomorrow, two things would change. First, we would be more aggressive with financing: in period 6 we were sitting on substantial cash and were too conservative about taking on debt, because of our conviction of not needing any more liquidity. Second, we would protect our investment in employee morale rather than cutting it for a short-run gain that sacrifice bought us a marginal edge in one period but eroded a longer-term asset that is slow and costly to rebuild.

Overall, our trajectory taught us less about any single decision than about discipline: choosing fewer fights, forecasting before reacting, and protecting the financial and human assets that compound over time.